Seachange Group Holdings Pty Ltd
Strictly private and confidential

Seachange Bribie Island Information Memorandum

A$46.0M senior secured construction and investment facility

Prepared for prospective senior lenders
Version 1.0, 3 March 2025
Strictly private and confidential
Reference: SCG-IM-2025-03-SLP
Date: 3 March 2025

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Borrower	Seachange Living Pty Ltd
ABN	40 987 804 650
Registered office	Suite 4, Level 1, 22 Benabrow Avenue, Bellara QLD 4507
Property	Seachange Bribie Island, 118 Casuarina Way, Bellara QLD 4507 (Moreton Bay Regional Council area)
Sponsor	Seachange Group Holdings Pty Ltd (Seachange Group)
Financial adviser	Corrigan Whitlock Capital Advisory Pty Ltd
Facility sought	A$46.0M senior secured construction and investment facility, 36 months
Date and version	3 March 2025, Version 1.0
Prepared by	Seachange Group

Document and transaction details

Important notice

This information memorandum has been prepared by Seachange Group Holdings Pty Ltd (Seachange Group) for prospective lenders to Seachange Living Pty Ltd (the Borrower). It is provided to assist recipients in deciding whether to submit indicative terms. It is not an offer, and it does not form a commitment by any party to lend or borrow.

Projections, valuations and cost figures in this document are the sponsor's own estimates and have not been independently verified. Financial information for the year ended 31 December 2024 is unaudited and drawn from draft accounts that remain subject to audit by Dunmore Fielding Chartered Accountants. An independent valuation and an independent quantity surveyor's report have not been issued at the date of this document. Recipients must rely on their own enquiries and on any reports they commission. Pricing and terms are indicative and subject to credit approval and due diligence.

1. Executive summary

Seachange Living owns and is developing Seachange Bribie Island, a gated over-50s land lease community on a 17.8 hectare freehold site at Bellara, Bribie Island, Queensland. The approved masterplan provides 210 homes in three stages, a 1,420 square metre resident clubhouse with pool, bowls green and community facilities, and internal roads and services. Total gross floor area is approximately 32,500 square metres.

Residents own their homes and lease the underlying site from the Borrower under the Manufactured Homes (Residents) Act 2003 (Qld), paying a weekly site fee. The Borrower earns development margin on initial home sales and a recurring site fee income stream, and it retains ownership of the land and community facilities.

Stage 1 (84 homes) reached practical completion on 23 August 2024. At the date of this document 82 homes are settled and occupied, an occupancy rate of 97.6%. Stage 2 (72 homes) commenced construction on 20 January 2025 and Stage 3 (54 homes) has civil works underway.

The Borrower seeks a A$46.0M senior secured hybrid facility with a 36 month tenor. Proceeds will refinance existing bank debt of A$19.6M, fund approximately A$24.6M of Stage 2 and Stage 3 construction and infrastructure costs, and fund approximately A$1.8M of capitalised interest and fees.

Investment highlights

- Stage 1 is built, settled and occupied, which demonstrates demand and delivery capability on this site.
- Of the 210 homes, 131 are settled or contracted (62.4%). Stages 2 and 3 carry 49 presales over 126 homes (38.9%).
- Sponsor projected gross realisation value (GRV) from home sales is A$114.5M, an average of about A$545,000 per home, against sponsor total development cost (TDC) of A$76.9M.
- On sponsor figures the facility represents 40.2% of GRV and 59.8% of TDC.
- Stabilised site fee income is projected at about A$1.88M a year, based on A$172 per home per week across 210 homes. This income is additional to the GRV and is retained by the Borrower.

- Seachange Group has developed and operates two other land lease communities in south-east Queensland.

2. The transaction

2.1 Facility request

Borrower	Seachange Living Pty Ltd
Facility	Senior secured construction and investment facility (hybrid)
Limit	A$46.0M
Tenor	36 months from first drawdown
Security	First registered mortgage over the land, plus general security over all present and after-acquired property of the Borrower
Interest margin (indicative)	1M BBSW plus 6.00% per annum on drawn amounts
Upfront fee (indicative)	1.75% of the facility limit, approximately A$0.81M
Line fee (indicative)	1.00% per annum on the undrawn commitment

Summary of facility request. Pricing is indicative and subject to credit approval and due diligence.

2.2 Sources and uses

The facility is sized to refinance the existing bank facility and to fund the major part of the remaining Stage 2 and Stage 3 works. The balance of construction cost is expected to be met from Stage 1 settlement receipts, Stage 2 and Stage 3 deposits and settlements, and sponsor support where needed.

Use of facility	A$M	% of facility
Refinance existing bank debt	19.6	42.6%
Stage 2 and Stage 3 construction and infrastructure	24.6	53.5%
Capitalised interest and fees	1.8	3.9%
Total	**46.0**	**100.0%**

Uses of the A$46.0M facility

2.3 Repayment

Repayment is expected from net settlement proceeds of Stage 2 and Stage 3 homes, together with the residual Stage 1 settlements. Surplus site fee income after operating costs and interest supports debt service and, after repayment, provides the basis for a longer term investment facility over the stabilised community.

3. Borrower and sponsor

3.1 Borrower

Seachange Living Pty Ltd (ABN 40 987 804 650) is a single-purpose entity formed to acquire, develop and hold Seachange Bribie Island. It acquired the Bellara site for A$19.8M on 30 June 2022, funded by sponsor equity and a bank facility.

3.2 Sponsor

Seachange Group Holdings Pty Ltd is the sponsor and parent of the Borrower. The group has developed and operates two other land lease communities in south-east Queensland. It provides development management, sales and marketing, and community operations through to the stabilised hold phase.

3.3 Directors

Director	Role
Margaret Gillespie	Non-executive Chair
Daniel Galbraith	Managing Director and Chief Executive Officer
Priya Gresham	Executive Director and Chief Financial Officer

Board of Seachange Living Pty Ltd

3.4 Project team and advisers

Role	Party
Head contractor	Bayside Civil and Build Pty Ltd
Borrower legal counsel	Tasker Mohr Lawyers
Auditor	Dunmore Fielding Chartered Accountants
Financial adviser	Corrigan Whitlock Capital Advisory Pty Ltd
Proposed valuer	Harcourt Brennan Valuers Pty Ltd (Brisbane)
Proposed quantity surveyor	Lindqvist Rowe Quantity Surveyors Pty Ltd (Brisbane)

Project team and advisers. The valuer and quantity surveyor are proposed for engagement by lenders and have not yet reported.

3.5 Project history

Date	Milestone
30 Jun 2022	Site acquired for A$19.8M
17 Feb 2023	Development approval for 210 relocatable homes and community facilities issued by Moreton Bay Regional Council
11 Sep 2023	Stage 1 civil and construction works commence
23 Aug 2024	Stage 1 (84 homes) reaches practical completion
Sep 2024	First resident settlements
20 Jan 2025	Stage 2 (72 homes) construction commences and Stage 3 civil works begin

Key project milestones

4. The asset

4.1 Site and masterplan

The site is a 17.8 hectare freehold holding at 118 Casuarina Way, Bellara, on Bribie Island within the Moreton Bay Regional Council area. Development approval was issued on 17 February 2023 for 210 relocatable homes and associated community facilities. The masterplan delivers the homes in three stages.

Stage	Homes	Status
Stage 1	84	Practically complete; 82 settled and occupied
Stage 2	72	Construction commenced 20 January 2025
Stage 3	54	Civil works underway
Total	**210**	

Staging and status

4.2 Community facilities

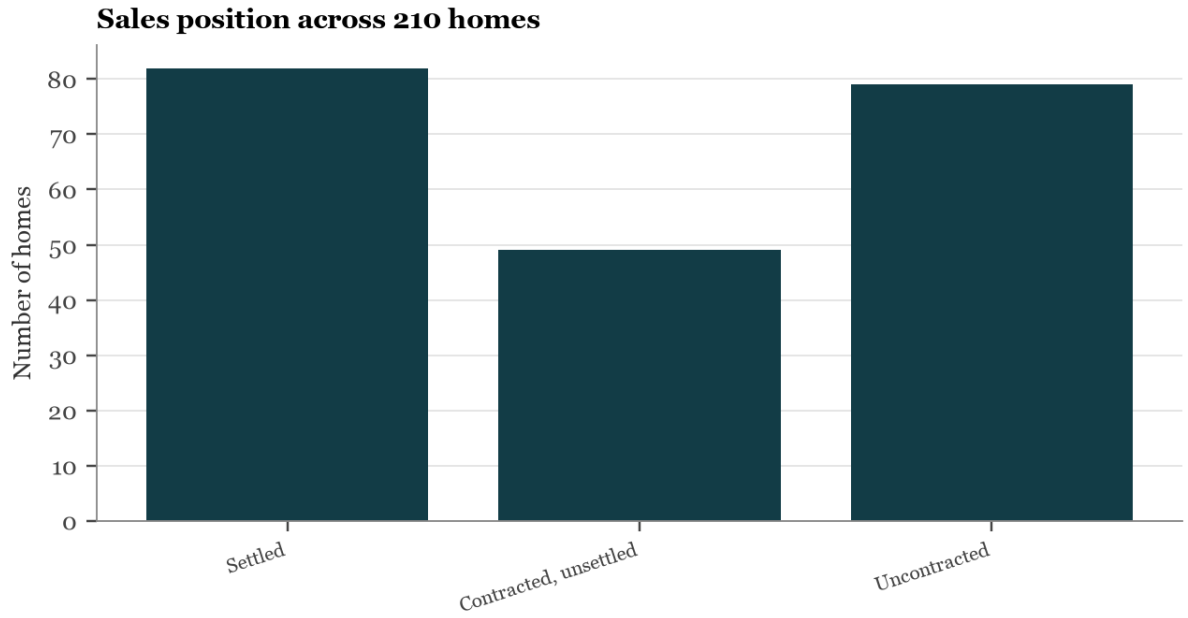
The 1,420 square metre resident clubhouse includes a pool, bowls green and community facilities. These are owned by the Borrower and are central to the community's appeal to buyers and to the case for ongoing site fees. Internal roads and services are being delivered in step with each stage.

4.3 Land lease model

Under the Manufactured Homes (Residents) Act 2003 (Qld), each resident buys the home and enters a site agreement with the Borrower. The resident pays a weekly site fee for the site and shared facilities. The Borrower keeps the land and the community facilities, so that the stabilised community produces a recurring income stream that is not dependent on further sales. Site fee reviews and community operations are subject to the Act and to the terms of each site agreement.

4.4 Sales status

Stage 2 and Stage 3 hold 49 presale contracts over 126 homes (38.9%). Across all 210 homes, 131 are settled or contracted (62.4%). Buyers commonly sell an existing home to fund their purchase, so settlement timing follows the local housing market.



82 Stage 1 homes are settled, 49 Stage 2 and Stage 3 homes are contracted, and 79 homes (two in Stage 1 and 77 in Stages 2 and 3) are uncontracted.

5. Security and loan metrics

The facility will be secured by a first registered mortgage over the Borrower's freehold land at Bellara and by general security over all present and after-acquired property of the Borrower. The Borrower will grant security over the site agreements, receivables and contract rights, including sale contracts and building contracts. Further security is proposed over the construction contract with Bayside Civil and Build Pty Ltd, with a consultant and contractor deed in favour of the lenders.

The table below shows loan metrics on sponsor assumptions, which are set out in section 7. The as-is and as-if-complete values will be established by the independent valuation that lenders may commission.

Metric	Sponsor basis	Value
Facility limit	Fully drawn	A$46.0M
Gross realisation value	Home sales, 210 homes	A$114.5M
Loan to GRV	46.0 / 114.5	40.2%
Total development cost	Sponsor estimate	A$76.9M
Loan to cost	46.0 / 76.9	59.8%
Land acquisition cost	June 2022	A$19.8M

Loan metrics on sponsor assumptions

GRV represents home sale proceeds only. It excludes the value of retained site fee income, which will add to the value of the completed community.

6. Financial information

The Borrower's financial year ends 31 December. The figures below are drawn from draft accounts for the year ended 31 December 2024, which are unaudited. They reflect the first period of Stage 1 settlements, which began in September 2024.

Item (FY2024, unaudited)	Value
Revenue	A$36.3M
EBITDA	A$6.4M
EBITDA margin	17.6%
Net debt at 31 December 2024	A$17.9M
Net debt to EBITDA	2.8x

Summary financial position, draft unaudited accounts

Existing bank debt to be refinanced is A$19.6M. Net debt of A$17.9M at 31 December 2024 reflects cash held at that date. Because the Borrower is a development entity, earnings fluctuate with the timing of settlements. Net debt to EBITDA will rise as the facility is drawn for Stage 2 and Stage 3 construction, and should fall as those homes settle.

7. Sponsor projections and assumptions

The following assumptions underpin the sponsor's financial model. They are the sponsor's own views and are not independently verified.

Assumption	Sponsor figure	Basis
GRV (home sales)	A$114.5M	About A$545,000 average price across 210 homes
Total development cost	A$76.9M	Sponsor cost plan with head contractor pricing
Stabilised weekly site fee	A$172	Per home, all 210 homes
Annual site fee income	A$1.88M	210 homes x A$172 x 52 weeks
Gross development surplus	A$37.6M	GRV less TDC, 48.9% on cost

Key sponsor assumptions

The sponsor considers these assumptions supportable. They reflect the pricing achieved to date at Stage 1, the amenity of the completed clubhouse and community facilities, and the sponsor's experience at its two other communities. The surplus shown is before financing costs, selling costs and tax.

7.1 Sensitivity

Lenders should test the sponsor assumptions against independent advice. The table shows how loan to GRV and the development surplus move if sale values fall or costs rise. A A$20,000 change in average home price moves GRV by A$4.2M. A A$10 change in the weekly site fee moves annual site fee income by about A$0.11M.

Scenario	GRV A$M	TDC A$M	Surplus A$M	Loan to GRV
Sponsor base case	114.5	76.9	37.6	40.2%
GRV down 5%	108.8	76.9	31.9	42.3%
TDC up 5%	114.5	80.7	33.8	40.2%
GRV down 10% and TDC up 10%	103.1	84.6	18.5	44.6%

Sensitivity of sponsor figures to GRV and TDC

8. Key risks and mitigants

Risk	Mitigant
Sales pace and pricing. Stages 2 and 3 are 38.9% presold, and buyers typically need to sell an existing home first. A softer coastal Queensland market could slow settlements.	Stage 1 is substantially sold. Presale and staging conditions can be tied to drawdowns. Stage 3 building works can be deferred if sales slow.
Construction cost and delivery. There is a limited fixed-price component, and contractor capacity, cost escalation and barge or bridge logistics to Bribie Island could raise costs or cause delay.	Head contractor has delivered Stage 1. Independent cost monitoring and a contingency are proposed. The sponsor will provide cost overrun support.
Sponsor assumptions not independently verified. The GRV, TDC and site fee assumptions are sponsor estimates. If independent reports are lower, projected headroom will fall.	Lenders can commission a valuation and quantity surveyor's report before credit approval. Sensitivities are in section 7.1.
Regulation and resident relations. Site fee increases and operations are regulated under Queensland manufactured homes legislation, and disputes or legislative change could limit site fee growth.	Established resident engagement and compliance practices at the sponsor's other communities. Site fee assumptions can be tested at lower levels.
Coastal hazard, flood and insurance. The site is exposed to storm tide and severe weather. Higher premiums or tighter planning controls could affect costs and demand.	Development approval is in place. Insurance is required as a condition of drawdown, with lender noting on all policies.
Concentration and refinancing. The Borrower is a single-asset entity with a 36 month tenor, so repayment depends on timely stage settlements. A sponsor liquidity shortfall would limit support for cost overruns.	Settlement proceeds are applied to debt reduction. A sponsor undertaking and reporting on liquidity are proposed. Extension options can be discussed.

Principal risks and proposed mitigants

9. Proposed terms for discussion

The sponsor proposes the following structure as a basis for discussion. Final terms will be set by the lenders' credit processes.

Conditions precedent to first drawdown

- Satisfactory independent valuation and quantity surveyor's report, with reliance for lenders.
- Executed security documents, first registered mortgage and registration on the Personal Property Securities Register.
- Evidence of the refinance payout of existing bank debt of A$19.6M and release of existing security.
- Insurance certificates, development approval and building contract documents, and a consultant and contractor deed.
- Legal opinions from Tasker Mohr Lawyers and satisfactory due diligence on title and the site agreements.

Ongoing undertakings and covenants

- Maximum loan to GRV and loan to cost, tested on independent valuation and quantity surveyor reports, with levels to be agreed.
- Release of Stage 2 and Stage 3 construction funds on monthly progress claims certified by the lenders' quantity surveyor.
- Minimum presale thresholds before commencing Stage 3 building works, to be agreed.
- Application of net settlement proceeds to repay the facility, subject to agreed release prices.
- Monthly reporting on sales, settlements, construction progress and cash flow, and quarterly reporting on site fee collections and occupancy.
- Annual audited accounts of the Borrower and a sponsor liquidity undertaking.

10. Process and next steps

Lenders are invited to review this information memorandum and to request further information from Corrigan Whitlock Capital Advisory Pty Ltd. A data room will be made available on signing of a confidentiality undertaking, containing the masterplan, development approval, draft financial statements, the sponsor financial model, the head contract and the sales register.

Step	Indicative timing
Information memorandum issued	3 March 2025
Data room access and management presentations	March 2025
Indicative terms from lenders	By 31 March 2025
Independent valuation and quantity surveyor's reports commissioned	On selection of preferred lender
Credit approval, term sheet and documentation	Following receipt of reports

Indicative process

All enquiries should be directed to Corrigan Whitlock Capital Advisory Pty Ltd. Lenders must not contact the Borrower's directors, contractors, residents or the Bellara site team directly without prior approval.